Let's look at a few instances:

Hotels

Let's look at a Hotel company that owns and operates a chain of hotels in the country. So what will be their Key performance Indicators?

We must first choose 3-4 factors that we believe are crucial to the operation of the business.

Hotel	No. of Rooms	Average Price
Hotel 1	10,000	5,000
Hotel 2	18,000	8,000

1. No of Rooms

We believe that the company's sales and profits are closely tied to the number of rooms, so we should keep a track of that. It explains the size of the business.

2. Occupancy Rate

> **What percentage of rooms on average are occupied?**
> **In short how many rooms are occupied?**

Some other factors that affect the KPIs can be revenue per available room.
It takes a lot of skill and judgement to decide which matrix should be used. Once we identify the right KPIs, we can compare different companies using them or even the same company over a period of time.

We cannot just evaluate the performance of a company using figures for sales and profits. Therefore, we need KPIs to go into greater detail.

KPIs are necessary for monitoring both company's and competitor's progress. These indicators are very crucial for our analysis of different companies.